

**Time:** 5 minutes**Outcome:** Classify labor-force status and calculate unemployment and participation rates.**Difficulty:**

Intermediate

Unemployment Measurement



THE CORE IDEA

Labor-force status depends on paid work and active job search, not simply on whether a person wants a job. Paid work means employed, even if underemployed. Discouraged workers are not in the labor force because they are not actively searching. Discouraged workers leave the labor force, which can lower the measured unemployment rate. Discouraged workers are excluded from unemployment, which can hide labor market weakness.



HOW TO RECOGNIZE IT

- Employed people performed paid work; unemployed people did not work but actively searched and were available.
- People without work who are not actively searching are outside the labor force.
- The labor force equals employed plus unemployed people.
- The unemployment rate divides unemployed people by the labor force, not by the total population.



WATCH OUT

A common mistake is to classify people only by whether they want a job. Employment depends on paid work; unemployment requires no job, availability, and active search.



WORKED EXAMPLE: CLASSIFYING LABOR-FORCE STATUS

In a group of 100 adults, 60 have paid jobs, 5 have no job but are available and actively searching, and 35 are not working or searching. The labor force is $60 + 5 = 65$, and the unemployment rate is $5/65 \times 100 = 7.7\%$. A discouraged worker in the last group is not counted as unemployed.



CHECK YOURSELF

Which two groups are added to calculate the labor force?

**READY?**

Return to the game and master this concept.